

GZ: 2022-0.726.643 dated March 6, 2023 (Case Number: DSB-D155.028)

[Note from the editor: Names and companies, legal forms and product names, addresses (including URLs, IP and email addresses), case numbers (and the like), etc., as well as their initials and abbreviations may have been abbreviated and/or altered for pseudonymization reasons. Obvious spelling, grammar, and punctuation errors have been corrected.]

DECISION

SPRUCH

The Data Protection Authority decides on the data protection complaint of Walter A*** (complainant), represented by B*** Data Protection Organization, M***gasse *3/*4, **** Vienna, ZVR: ****, dated

August 17, 2022

against

1) N1***Medien

GmbH

(first respondent), represented by attorneys U*** & Partner, L***platz *3, ****

Vienna, and 2) N2*** Social Media, Inc. (second respondent), located at **5 K*** Drv, ****,

USA, regarding A) a violation of Art. 44 GDPR by the respondents and

B) a violation of Art. 5 ff, Art. 28, and Art. 29 GDPR by the second respondent as follows:

1.

The decision of the Data Protection Authority dated October 2, 2020, ZI. D155.028, 2020-0.527.429, is revoked.

2.

The complaint regarding complaint point A) is partially upheld, and it is established that as a result of the decision of the first respondent as the data protection responsible party, the N3*** Business Tools “N3*** Login” and “N3*** Pixel” were implemented on the website www.n1***.at, at least on August 12, 2020, personal data of the complainant (which includes at least unique user identification numbers, IP address, and browser parameters) were transmitted to the second respondent in the USA (data transmission), although the first respondent did not ensure an adequate level of protection for this data transmission in accordance with Art. 44 GDPR.

3.

The complaint against the second respondent regarding complaint points A) and B) is dismissed.

Legal bases: Art. 4 No. 1, No. 2, No. 7, No. 8 and No. 23 lit. b, Art. 5, Art. 28, Art. 29, Art. 44, Art. 46 para. 1 and para. 2 lit. c, Art. 51 para. 1, Art. 57 para. 1 lit. d and lit. f, Art. 77 para. 1, Art. 80 para. 1 as well as Art. 93 para. 2 of Regulation (EU) 2016/679 (General Data Protection Regulation, GDPR), OJ No. L 119 of May 4, 2016, p. 1; §§ 18 para. 1 as well as 24 para. 1, para. 2 No. 5 and para. 5 of the Data Protection Act (DSG), BGBl. I No. 165/1999 as amended; § 68 para. 2 of the General Administrative Procedure Act 1991 (AVG), BGBl. No. 51/1991 as amended.

REASONING

A. Submissions of the parties and procedural history

A.1. The complainant summarized the following in his submission dated August 18, 2020:

The complainant visited the website of the first respondent at www.n1***.at on August 12, 2020, while logged into the N3*** account linked to the email address walter.c***@***email.org. The first respondent had embedded the HTML code for N3*** services (including N3*** Connex) on its website. During the visit to the website, personal data of the complainant (at least the IP address and cookie data) were transmitted to the second respondent. The transmission of the complainant's data was unlawful. It is requested to investigate whether the requirements of Art. 28 GDPR regarding the data transmission to the USA are met and to impose a prohibition or suspension of any data transmissions from the first respondent to the USA and to order the return of this data to the EU.

A bundle of documents was attached to the submission.

A.2. By decision dated October 2, 2020, ZI. D155.028, 2020-0.527.429, the Data Protection Authority

suspended the present complaint procedure.

A.3. In a statement dated December 28, 2020, the first respondent summarized the following:

The website www.n1***.at is the online presence of the daily newspaper “N1***zeitung” and “n1***”. Data processing in connection with an N3*** tool was carried out exclusively for journalistic purposes, and the media privilege stipulated in § 9 para. 1 DSG applies. Without prejudice to the factual and legal situation, the first respondent took all N3*** tools of the website www.n1***.at offline or deactivated them on November 19, 2020.

A bundle of documents was attached to the statement.

A.4. In a statement dated January 22, 2021, the complainant summarized the following:

The data processing related to the N3*** tools is not carried out for journalistic purposes. The complainant did not log in during the visit either.

interact in a manner that could have been for journalistic purposes. He merely visited the website www.n1***.at. In the event that the Data Protection Authority assumes a subsequent removal of the legal violation in accordance with § 24 para. 6 DSG, a determination is requested that the first respondent has unlawfully transferred personal data to the USA.

A bundle of documents was attached to the statement.

A.5. The Data Protection Authority requested the second respondent, with a decision dated February 26, 2021, to answer several questions related to the N3*** tools. The second respondent stated in a letter dated March 18, 2021, that N3*** Ireland Limited is responsible for processing the data in question. Subsequently, the Irish supervisory authority was asked by the Data Protection Authority, within the framework of the cooperation mechanism according to Art. 57 para. 1 lit. g GDPR, to forward questions related to the N3*** Connex tool to N3*** Ireland Limited. As a result, the answered questionnaire from N3*** Ireland Limited, dated May 5, 2021, was transmitted by the Irish supervisory authority to the Data Protection Authority.

A.6. In a statement dated May 10, 2021, the complainant summarized the following:

The complaint explicitly targets the first and second respondents and N3*** Ireland Limited (note of the Data Protection Authority: The complaint against N3*** Ireland Limited was later withdrawn, see below). The Data Protection Authority has jurisdiction over the second respondent in its role as data importer.

A.7. After several requests from the Data Protection Authority, the second respondent summarized the following in a statement dated June 22, 2021:

The second respondent is a sub-processor and the scope of the GDPR does not apply. The data processing in question is not carried out by the second respondent; it is solely the recipient of the data. The main office is located in Ireland, and the contact person is N3*** Ireland Limited.

A.8. On August 18, 2021, the Data Protection Authority submitted a second request for assistance to the Irish supervisory authority (DPC) responsible for N3*** Ireland Ltd. The subject of the request for assistance was the data processing in connection with the N3*** tools. (Note of the Data Protection Authority: The questionnaire was forwarded by the Irish supervisory authority to N3*** Ireland Limited on January 31, 2022. On February 7, 2022, N3*** Ireland Limited submitted a general response letter without specifically addressing the questions contained in the questionnaire. From the perspective of the Data Protection Authority, the questionnaire was no longer relevant, as, as seen below, an oral hearing was subsequently scheduled).

A.9. In a statement dated September 24, 2021, the complainant summarized the following:

The complaint against N3*** Ireland Limited is withdrawn; the complaint against the first and second respondents remains. Chapter V of the GDPR does not differentiate between controllers and processors. The question of role distribution therefore seems to be only a preliminary question regarding the jurisdiction of the Data Protection Authority. The role distribution is such that the first respondent is the controller and the second respondent should at least be qualified as the (sub-)processor receiving the data in the USA. Due to the N3*** services and the corporate structure of the N3*** group, it is likely that there is joint responsibility between the second respondent and N3*** Ireland Limited. N3*** Ireland Limited is also not a branch of N3*** Inc. The Data Protection Authority should obtain the case file for Zl. I**-2*-7*-* (note of the Data Protection Authority: this is a procedure before the Irish supervisory authority) within the framework of assistance according to Art. 61 GDPR.

Chapter V of the GDPR is also relevant for data recipients in third countries, as a transfer without a recipient is not possible. In the event that the Data Protection Authority considers itself incompetent to handle the complaint against the second respondent, a jurisdiction decision in the form of a notice is requested.

A.10. The Data Protection Authority scheduled an oral hearing for the second respondent. Furthermore, a questionnaire was sent to the first respondent with the decision of the Data Protection Authority dated January 5, 2022.

A.11. In a statement dated March 7, 2022, the first respondent summarized the following:
At the time in question, the first respondent had integrated the N3*** Pixel Scout alongside N3*** Connex (or N3*** Login) on the website www.n1***.at. The N3*** Pixel Scout was removed on December 7, 2020. The use of N3*** Login was intended to provide premium customers with an easier way to log in. N3*** Login was subsequently removed in January 2022. The first respondent issued an instruction or communication to N3*** Ireland Limited to transmit the processed data for legal enforcement purposes and then... delete. With the integration of N3*** Login, personal data from the public profile of the logged-in user was transmitted to the first respondent. As of March 7, 2022, the respondent no longer used any N3*** Business Tools.

A.12. The oral hearing of the second respondent was conducted on May 16, 2022 (note from the Data Protection Authority: via video conference in accordance with § 51a AVG). The corrected version of the minutes ("Minutes of the Oral Hearing of N2*** Social Media, Inc Final.pdf") is attached to the file.

A.13. The second respondent submitted a document ("Data List") on May 30, 2022, which was referenced during the oral hearing on May 16, 2022.

A.14. In a statement dated July 25, 2022, the complainant summarized the following:
The complainant did not actively interact with N3*** Login when visiting www.n1***.at. Immediately after opening the website or interacting with the cookie banner, the data transmissions visible in the HAR file occurred. Due to the host designation "Connex.n3***.net," he assumed the use of "N3*** Connex." It could not be determined which specific N3*** tools triggered the data transmissions. The complaint generally refers to the transmission of the complainant's personal data to the second respondent during the visit to www.n1***.at on August 12, 2020. The complainant requested a determination of a violation of Art. 44 GDPR, as the data transmission on August 12, 2020, was not justified by any transmission mechanism under Art. 45 et seq. GDPR. Furthermore, he requested a determination of a violation of Art. 28 in conjunction with Art. 5 et seq. in conjunction with Art. 29 GDPR due to the aforementioned violation of Art. 44 GDPR. These are past, completed legal violations. Whether the N3*** tools that triggered the data transmission to the USA on August 12, 2020, have since been removed from www.n1***.at is irrelevant for the complaint procedure. The request for the imposition of a fine is withdrawn.

A.15. In a statement dated September 19, 2022, the second respondent summarized the following:
The second respondent is a (sub-)processor and merely a recipient of the data in question. In this context, the data processing does not fall under the territorial scope of the GDPR. Regarding the role of N2*** Ireland, this should be discussed with them. Reference is made to the website https://m.n3***.com/legal/businesstech. N2*** Ireland is the data exporter. The data transfers in question were lawful and in accordance with Chapter V of the GDPR. The subject of the complaint is the N3*** Login tool; the complaint cannot be "generally" about the data transmission to the USA.

A.16. In a statement dated October 18, 2022, the complainant summarized the following:
The subject of the complaint is the data transmissions on August 12, 2020. The facts are clearly described based on the URL visible to the complainant in the code and traffic; various product names are irrelevant. The complaint refers to the transmission of personal data to the USA.

A.17. In a statement dated October 18, 2022, the first respondent summarized the following:
N3*** Ireland Limited acted as the primary contractual partner. The data processing that took place in 2020 is no longer clearly traceable by the first respondent without access. The processed data and the logs related to the N3*** Pixel-Scout are no longer within their control. There has been a complete removal of the alleged legal violation. In this case, there is no violation of § 1 DSG, the facts are different. Thus, § 24 para. 6 DSG is applicable. A request is made to suspend the current proceedings

until a preliminary ruling by the CJEU in case GZ C-446/21. An attachment titled "Confidential" has been added to the minutes of the oral hearing of the second respondent from May 16, 2022. This letter was not delivered to the first respondent.

B. Subject of the Complaint

B.1. Determination of a legal violation that is in the past

a) Regarding the request for determination

Art. 58 GDPR does not contain an explicit legal basis for an independent determination regarding the potential unlawfulness of a data protection-relevant processing operation (cf. VwGH of September 1, 2022, Ra 2022/04/0066). Consequently, the mere determination of a violation of a data protection right under Art. 58 para. 6 GDPR in conjunction with § 24 para. 2 no. 5 DSG requires a request from the affected person.

Although the complainant did not make an explicit request in the sense of § 24 para. 2 no. 5 DSG in his first submission dated August 17, 2020, the requests (further below) were directed at a (at the time of submission) ongoing legal violation.

In the course of the proceedings, the complainant clarified that, within the framework of his complaint, a legal violation should be established as of August 12, 2020: While the complainant requested this finding with a statement dated January 22, 2021, still under certain reservations ("[...] in the event that the DSB assumes a subsequent removal of the legal violation in accordance with § 24 (6) DSG, the complainant requests the finding that the respondent unlawfully transferred personal data of the complainant to the USA on 12.08.2020, [...]"), the complainant made it clear in his statement dated September 24, 2021, and particularly on July 25, 2022, that the relevant date for the complaint is August 12, 2020, and that the legal violation is not subject to removal in the sense of § 24 (6) DSG. These statements were also communicated to the respondents.

From the perspective of the Data Protection Authority, there is therefore a clear reference to § 24 (2) Z 5 DSG in the present case, and the will of the complainant is evident that a finding regarding a past legal violation should be discussed.

b) Regarding the legal violations

From the submission of the complainant dated August 17, 2020, and particularly his statement dated July 25, 2022, it is evident that the subject of the complaint generally concerns data transfers to the USA on August 12, 2020, related to N3*** Business Tools ("[...] On the website, the controller embedded the HTML code for N3*** services [including N3*** Connex]"). The complainant has at no time limited his complaint to data processing that occurred solely as a result of the implementation of N3*** Login.

Considering this consideration as well as the further statements of the complainant from January 22, 2021, and September 24, 2021, the following legal violations are to be discussed:

Complaint Point A): Did the respondents transfer personal data of the complainant to the USA on at least August 12, 2020, due to the implementation of N3*** Business Tools on the website www.n1***.at, without ensuring an adequate level of protection in accordance with Art. 44 GDPR?

Complaint Point B): Did the second respondent violate Art. 5 ff in conjunction with Art. 28 in conjunction with Art. 29 GDPR during the contested data transfer on August 12, 2020?

B.2. Regarding the processing ban

Regarding the complainant's request to issue an immediate ban on any data transfers in accordance with Art. 58 (2) lit. d, lit. f, and lit. j GDPR, it is not to be decided, as the first respondent removed the N3*** Business Tools from its website www.n1***.at before the conclusion of the present proceedings.

B.3. Regarding the request for the imposition of a fine

Regarding the complainant's request to impose a fine against the respondents, it is not to be decided, as this request was withdrawn with the statement dated July 25, 2022 (and is now to be understood as a suggestion).

C. Findings of fact

C.1. Regarding the general functioning of cookies

Cookies can collect information generated by a website and stored via the browser of an internet user. They are small files or text information (usually smaller than one kilobyte) placed by a website on the hard drive of a user's computer or mobile device through the user's browser.

A cookie allows the website to "remember" the actions or preferences of the user. Most web browsers support cookies, but users can configure their browsers to refuse cookies. They can also delete cookies at any time.

Websites use cookies to identify users, remember their customers' preferences, and enable users to complete tasks without having to re-enter information when switching to another page or revisiting the website later.

Cookies can also be used to collect information for targeted advertising and marketing based on online behavior. For example, companies use software to track user behavior and create personal profiles that allow them to show users advertisements tailored to their previous search activities.

Assessment of evidence C.1.: The explanations regarding the functioning of cookies are derived from the conclusions of the Advocate General in Case C-673/17, para. 36 et seq. with references. Since this is an independent and general technical description of the possible functions of cookies, these explanations were to be included at the factual level – and not in the legal assessment.

C.2. Regarding the general functioning of N3*** Login

N3* Login**

N3*** Login is a tool offered by the N2*** Group. N3*** Login can be integrated into web services or apps that are not provided by the N2*** Group. This allows users to log in to third-party web services or apps using their N3*** user data without needing to register separately. N3*** Login was previously offered under the name N3*** Connex. The N2*** Group provides the following information about N3*** Login at https://developers.n3***.com/docu/n3***-login/basics (excerpt, formatting not reproduced 1:1, links not included):

N3* Login – Overview**

With N3*** Login, users can securely and easily create accounts and log in to your app across various platforms. This feature is available for iOS, Android, web, desktop apps, and devices such as smart TVs and Internet of Things objects. N3*** Login enables access to personal data through authentication or permission requests. You can use N3*** Login solely for authentication or additionally for data access.

[...]

Use Cases

N3*** Login provides a great user experience in various ways:

- **Account Creation**

Through N3*** Login, users can quickly and easily create an account for your app without needing a password that they might easily forget. This leads to higher modification. After a user has created an account on one platform, they can log in to your app on all other platforms—often with just a single click. By validating an email address, you can reach out to the user later and interact with them.

- **Personalization**

A personalized user experience connects the user more strongly to your app and leads to higher user retention. With N3*** Login, you can collect information that you would normally have to obtain through a complicated and tedious registration form. Even if a user can only import a profile picture from N3*** into your app, they already feel more connected to your app.

[...]

****Features****

- **True Identity**

When a user chooses to log in via N3***, they do so with their true identity. The public profile includes a person's real name and a profile picture. Apps that rely on true identities typically receive less spam and foster higher-quality conversations.

- **Cross-Platform Login**

N3*** Login is available on the most common platforms for mobile and desktop apps. Users who create N3*** accounts on one platform can also quickly and easily log in to your app on another platform. A person always has the same user ID everywhere, ensuring a seamless cross-platform app experience. N3*** Login is available for iOS, Android, and web, for desktop apps, and for devices such as smart TVs and Internet of Things devices.

- **Works with Your Existing Account System**

N3*** Login complements your existing account system. Give your users the option to log in via N3*** in addition to email, SMS, or other social networks. If an email-Address obtained through N3*** Login matches an email address already present in your system, this user can log in to their existing account without further password entry.



Precise Permissions

N3*** Login supports numerous permissions that determine which information users share with your app. For you, this means that you have complete control over which permissions you request, and users have control over how they allow the app to use their data.



Individuals Have Control Over What They Share

For a great user experience, users must have control over what they want to share and what they do not. With N3*** Login, users can specify exactly which information they want to provide to your app. Even if they do not want to grant you access to certain information because they feel uncomfortable, they still benefit from N3*** Login. Your app can request this information again at a later time after you have explained to users how you use their information to provide them with a better user experience.



Stepwise Authorization

N3*** Login supports stepwise authorization. This means that you do not have to request all required information at once, but can do so gradually. This allows users to quickly and easily create an account for your app. Once they are more familiar with your app, you can request additional permissions to enhance their user experience.



Express Login

Through Express Login, individuals are logged into their N3*** account on all devices and platforms. If a person has previously logged into your app on any platform, you can log them into their N3*** account on Android via Express Login. The person does not need to select a login method, which could have led to duplicate accounts being created or individuals not logging in at all.

Evidence Assessment C.2.: The findings regarding the functionality of N3*** Login are based on an official investigation of the website https://developers.n3***.com/docu/n3***-login/basics (accessed on March 6, 2023).

The finding that N3*** Login was previously offered under the name N3*** Connex is based on the statement of the second respondent during the oral hearing on May 16, 2022 (response to question 8).

C.3. General Functionality of N3* Pixel**

The N2*** group provides the following information about N3*** Pixel (now: N2*** Pixel) at https://developers.n3***.com/docu/N2***-pixeldocs/ (excerpt, formatting not reproduced 1:1, links not included):

“N2*** Pixel

The N2*** Pixel is a JavaScript code snippet that allows you to track the activities of visitors on your

website. It works by loading a small library of functions that you can use once a page visitor performs an action (a so-called event) that you want to track (this action is referred to as Modification). Tracked Modifications appear in the dashboard of the Ads Manager. They can be used there to measure the effectiveness of your ads, to set up Custom Audiences for ad targeting, for Advantage+ Catalog Ads campaigns, and to analyze the effectiveness of the Modification funnels on your website.

The N2*** Pixel can collect the following data:



HTTP Headers – all information contained in HTTP headers. HTTP headers are a standard web protocol that is sent between all browser requests and all servers on the Internet. The HTTP headers include IP addresses, information about the web browser, the location of the page, the document, the referrer, and the person using the website.



Pixel-specific data – including the pixel ID and the N3*** cookie.



Click data for buttons – all buttons that visitors to the website have clicked, the labels of those buttons, and all pages that were accessed as a result of these button clicks.



Optional values – developers and marketers can optionally specify that additional information about the visit is sent via events for custom data. Examples of events for custom data include Modification value and Page type.



Form field names – including website field names such as email, address, quantity, for the purchase of a product or service. We do not collect field values unless they are part of Advanced Matching or optional values.

The N2*** Corporation also provides the following information about the N2*** Pixel at https://de-de.n3***.com/business/help/*4353*3?id=*4*564*23 (excerpt, formatting not reproduced 1:1, links not included):

“Use the N2*** Pixel for the following purposes:



Deliver your ads to the right people. Find new customers or people who have visited a specific area on your website or performed a desired action.



Increase your revenue. Set up automatic bids to reach people who are more likely to take a relevant action for you, such as completing a purchase.



Measure the success of your ads. Analyze the impact of your ads by capturing user reactions. After you have set up your N2*** Pixel, it logs when someone takes an action on your website. Such actions include, for example, adding an item to the shopping cart or completing a purchase. The N2*** Pixel captures these actions (also called events), which you can then view in the Events Manager on your N2*** Pixel page. Here you can see the actions your customers take. You can also retarget these customers with additional N3*** ads.

If you share events with N2*** via the pixel, we recommend that you also use the Modifications API. In combination with your pixel, the Modifications API helps you improve the performance and measurement of your N3*** advertising campaigns. Here you can find more information about the Modifications API.

The terms of use for our business tools stipulate that companies (or partners acting on their behalf) may not install a pixel linked to their Business Manager or advertising account on websites where they do not have ownership rights without our written permission. As of May 5, 2021, we show verified domain owners the events and custom modifications that we have recently received via the N2*** Pixels placed on their websites. While verified domain owners can see all events, they can only use events for ad optimization and reporting if they can also access these events in their own Business Manager account. If you do not want information from your N2*** Pixel or custom modifications to be

visible to the domain owner,

are, you can remove the pixel from the website or delete the custom modification by the specified date."

N2*** Ireland processes the data of Austrian users who use N3*** Business Tools, and the second respondent receives relevant instructions from N2*** Ireland.

Evidence Assessment C.3.: The findings regarding the functionality of N3*** and N2*** Pixel are based on an official investigation of the website https://de-de.n3***.com/business/help/*4353*3?id=*4*564*23 and https://developers.n3***.com/docu/N2***-pixel/ (each accessed on March 6, 2023).

The determination that the second respondent receives all instructions related to N3*** Business Tools from N2*** Ireland is based on the credible statement of the second respondent during the oral hearing on May 16, 2022 (response to question 2). Although the second respondent only referred to N3*** Login in their statement, there is no substantive reason to assume that these considerations do not generally apply to N3*** Business Tools. Furthermore, nothing contrary can be inferred from the terms of use and data processing conditions for N3*** Business Tools (which include N3*** Login and N3*** Pixel) as seen further below.

C.4. Regarding the Cookie Policy of N2*** Platforms Ireland Limited (formerly: N3*** Ireland Limited) N2*** Platforms Ireland Limited provides the following information about cookies at https://www.n3***.com/policies/cookies/ (excerpt, formatting not reproduced 1:1, links not included):

"Where do we use cookies?

We may place cookies on your computer or device and obtain information stored in the cookies when you use or visit the following:

- The N2*** products;
- Products provided by other members of the N2*** companies; and
- Websites and apps provided by other companies that use the N2*** products, including companies that integrate N2*** technologies into their websites and apps. N2*** uses cookies and obtains information without any further action on your part when you visit such websites and apps, including device information and information about your activity. This occurs regardless of whether you have an N3*** account or are logged in."

Evidence Assessment C.4.: The findings are based on an official investigation of the website https://www.n3***.com/policies/cookies/ (accessed on March 6, 2023).

C.5. Regarding the Terms of Use for N3*** Business Tools

the individuals concerned erhältst, versicherst du, dass du die erforderlichen Informationen bereitgestellt hast, um die betroffenen Personen über die Erhebung und Verwendung ihrer Daten zu informieren, und dass du die erforderlichen Zustimmungen eingeholt hast, um die Kundendaten an uns weiterzugeben.

2. Nutzung der N3*** Business Tools

- a. Du darfst die N3*** Business Tools nur in Übereinstimmung mit diesen Nutzungsbedingungen und allen geltenden Gesetzen verwenden.
- b. Du bist dafür verantwortlich, dass deine Nutzung der N3*** Business Tools nicht gegen die Rechte Dritter verstößt, einschließlich, aber nicht beschränkt auf Urheberrechte, Markenrechte und Datenschutzrechte.
- c. Du darfst die N3*** Business Tools nicht für illegale oder unbefugte Zwecke verwenden.

3. Haftungsausschluss

- a. Die N3*** Business Tools werden „wie sie sind“ bereitgestellt, ohne jegliche ausdrückliche oder stillschweigende Gewährleistung, einschließlich, aber nicht beschränkt auf die Gewährleistung der Marktgängigkeit oder der Eignung für einen bestimmten Zweck.
- b. N3*** haftet nicht für direkte, indirekte, zufällige, besondere oder Folgeschäden, die aus der Nutzung oder Unmöglichkeit der Nutzung der N3*** Business Tools entstehen.

4. Änderungen der Nutzungsbedingungen

- a. N3*** behält sich das Recht vor, diese Nutzungsbedingungen jederzeit zu ändern. Die Änderungen treten mit der Veröffentlichung auf unserer Website in Kraft.

b. Es liegt in deiner Verantwortung, die Nutzungsbedingungen regelmäßig zu überprüfen, um über Änderungen informiert zu sein.

5. Anwendbares Recht

a. Diese Nutzungsbedingungen unterliegen dem Recht des Landes, in dem N3*** seinen Sitz hat, ohne Berücksichtigung der kollisionsrechtlichen Bestimmungen.

6. Kontakt

a. Bei Fragen zu diesen Nutzungsbedingungen wende dich bitte an unseren Kundenservice.

Diese Nutzungsbedingungen wurden zuletzt am 26. Dezember 2019 aktualisiert.

the affected person, you assure and guarantee without limitation of any part of these Terms of Use for Business Tools that you have all necessary rights and permissions as well as a legal basis for the disclosure and use of customer data.

f. You will inform us promptly in writing of any actual or threatened complaint or challenge related to the use of personal data in accordance with these Terms of Use for Business Tools and cooperate with us in responding to such complaint or challenge.

g. If you use customer data on behalf of a third party, you also assure and guarantee that you are authorized as their representative to use and process this data on their behalf and to bind such third party to these Terms of Use for Business Tools. You will use the customer data or any target groups or reports generated by your use of the customer data only on behalf of such third party.

h. You will not share any customer data with us that you know or should reasonably know originates from children under 13 years of age or that contains information regarding health, finances, or other categories of confidential information (including any information that is considered confidential under applicable law).

2. Use of Customer Data

a. Depending on which products of the N3*** companies you use, we will use customer data for the following purposes:

i. Contact information for matching

1. You instruct us to process the contact information solely for the purpose of matching it with the user IDs of N3*** or N4***socialmedia ("Matched User IDs") and to combine these user IDs with corresponding event data. We will delete contact information after the matching process.

ii. Event data for measurement solutions and analytics services

1. You instruct us to process event data for the following purposes: (a) to prepare reports on the effectiveness of your advertising campaigns and other online content ("Campaign Reports") on your behalf, and (b) to create analyses and insights regarding your customers and their use of your apps, websites, products, and services ("Analyses").

2. We grant you a non-exclusive and non-transferable license to use the Campaign Reports and Analyses solely for your internal business purposes or exclusively in aggregated and anonymized form for measurement purposes. You may not disclose the Campaign Reports or Analyses or any part thereof to any third party without our written consent. We will not disclose the Campaign Reports or Analyses or any part thereof to any third party without your permission, unless (i) they have been combined with Campaign Reports and Analyses from numerous other third parties and (ii) your personal information has been removed from the combined Campaign Reports and Analyses.

iii. Event data for creating addressable audiences

1. We may process the event data to create audiences based on shared event data (including Custom Audiences via websites, Custom Audiences via mobile apps, and Offline Custom Audiences), which you can then use for targeting advertising campaigns. At our sole discretion, we may also allow you to share these audiences with other advertisers.

ii. Event data for the delivery of commercial and transaction-related messages

1. We can use the matched user IDs and associated event data to help you reach individuals with transaction-related and other commercial messages in Messenger and other products of the N3*** companies.

ii. Event data for personalizing features and content as well as for improving and securing N3***

products

1. We use event data to personalize the features and content (including advertisements and recommendations) that we show to individuals on and off our N3*** products. In connection with ad targeting and optimizing ad delivery, we do the following: (i) We only use your event data for delivery optimization after we have aggregated it with other data collected by other advertisers or in other ways on N3*** products; furthermore, (ii) we do not allow other advertisers or third parties to target ads solely based on your event data.

2. We may also use event data to promote protection and security on and off the products of the N3*** companies, as well as for research and development purposes and to maintain the integrity of the N3*** products and for their improvement.

2. Special provisions for the use of N3*** pixels and SDKs

a. You may not (nor may partners acting on your behalf) place pixels linked to your Business Manager or advertising account on websites that you do not own without our written permission.

b. When you use our pixels or SDKs, you also represent and warrant that you have provided a stable and sufficiently prominent notice to users regarding the collection, sharing, and use of customer data, which must include at least the following information:

i. For websites: A clear and prominent notice on every page of the website where our pixels are used. Such notice must link to a clear explanation stating that (a) third parties, including N3***, may use cookies, web beacons, and other storage technologies to collect or receive information from your websites and other places on the internet and use that information for measurement services and ad targeting, (b) how users can opt out of the collection and use of information for ad targeting, and (c) where users can access a mechanism to make such a choice (e.g., by providing links to <http://www.aboutads.info/choices> and <http://www.youronlinechoices.eu/>).

ii. For apps: A clear and prominent link that is easily accessible in your app settings or in any data policy and from any store or website where your app is distributed. This link must link to a clear explanation stating that (a) third parties, including N3***, may collect or receive information from your app and other apps and use that information for measurement services and ad targeting, and (b) how and where users can opt out of the collection and use of information for ad targeting.

c. In jurisdictions where informed consent is required for storing cookies or other information on an end user's device and accessing it (such as in the European Union), you must ensure in a verifiable manner that an end user has given the necessary consent before you use N3*** Business Tools to enable us to store and access cookies or other information on the end user's device. (Suggestions for implementing consent mechanisms can be found in the N3*** Cookie Consent Guide for Websites and Apps.)

3. Amendment, Termination, and Storage:

a. We may change, suspend, or terminate your access to the N3*** Business Tools at any time or discontinue their availability. You may terminate your use of the N3*** Business Tools at any time. In accordance with these Terms of Use for Business Tools, we may store the Event Data for a maximum of two years. We will retain any audiences you create using the Event Data until you delete them via your account tools.

b. These Terms of Use for Business Tools govern your provision of Customer Data to us as well as your use of the N3*** Business Tools. Your use of these N3*** Business Tools may also be subject to the N3*** Platform Policies. These Terms of Use for Business Tools do not replace any terms of use that apply to your purchase of advertising inventory from us (including, but not limited to, the N3*** Advertising Policies at https://www.n3***.com/policies/adverts). Such terms of use continue to apply to your advertising campaigns. The Terms of Use for Custom Audiences from N3*** (currently available at https://www.n3***.com/adverts/manage/customaudiences/tos) do not apply to audiences created through the processing of Event Data in accordance with these Terms of Use for Business Tools. We reserve the right to monitor or review your compliance with these Terms of Use for Business Tools.

c. Note:

i. We have updated the Terms of Use for Modification Tracking, for Custom Audiences through your website, and for Custom Audiences through your mobile app, including changing their name to Terms

of Use for N3*** Business Tools. For the purposes of the Terms of Use for N3*** Business Tools, references in existing terms of use or agreements to "N3*** Tools" now refer to the N3*** Business Tools.

ii. We have updated our Terms of Use for Offline Modifications and changed their name as well. They are now called Terms of Use for N3*** Business Tools. For the purposes of the Terms of Use for N3*** Business Tools, the following applies to references in existing terms of use or agreements: (i) "Revenue Data" is now Customer Data, (ii) "Userinfo" is now Contact Information, (iii) "Transaction Data" is now Event Data, (iv) "Matched Data" now refers to Event Data combined with matched User IDs, (v) "Unmatched Data" is now Event Data that has not been combined with matched User IDs, (vi) "Reports" are now Campaign Reports, and (vii) "OM" now stands for our Offline Modifications feature.

d. Just as with our terms for commercial use, we may make changes to these supplemental Terms of Use. If you continue to access or use any N3*** products subject to the supplemental Terms of Use after any update to the supplemental Terms of Use, you agree to be bound by them. The parties acknowledge and agree that the state-specific terms of use for the provision and use of the N3*** Business Tools apply and become part of these Terms of Use for Business Tools by reference.

e. No part of these Terms of Use for Business Tools prevents us from making disclosures related to N3*** Business Tools to our users, which we may be required to make or which we may deem appropriate or necessary under applicable law.

4. A Note for Data Controllers in the EU and Switzerland:

a. To the extent that the Customer Data contains personal data that you process in accordance with the General Data Protection Regulation (Regulation (EU) 2016/679) (the "GDPR"), the parties acknowledge and agree that you are responsible for the provisions in paragraphs 2.a.i and 2.a.ii above.

described purposes of providing matching, measurement, and analysis services of the data controller regarding such personal data, and that you have commissioned N3*** Ireland Limited to process such personal data on your behalf as your processor in accordance with these terms of use and the data processing terms of N3***, which are incorporated by reference into this document. "Personal data," "data controller," and "processor" have the meanings assigned to them in the data processing terms in this paragraph.

Effective Date: December 26, 2019

The terms of use for N3*** Business Tools were updated on August 31, 2020. The terms of use as of August 31, 2020 include a reference to a new data transfer addendum, which incorporates standard contractual clauses into the contractual framework and replaces Privacy Shield. This addendum also came into effect on August 31, 2020:

[Note to editor: The following paragraph is originally a graphic file]

"N3***

Our updated data processing terms include a reference to our new data transfer addendum, which incorporates standard contractual clauses into the contractual framework (and which replaces Privacy Shield). This addendum comes into effect on August 31, 2020."

The terms of use for N3*** Business Tools as of December 26, 2019 and the terms of use for N3*** Business Tools as of August 31, 2020 serve as the basis for the findings of fact.

Assessment of Evidence C.5.: The findings made are based on the submission of the complainant dated August 17, 2020, and the documents submitted therein (Attachment .01 and Attachment .03). The cited terms of use for N3*** Business Tools as of December 26, 2019 and as of August 31, 2020 are included in the present file and are known to the parties. Furthermore, the findings made are based on an official investigation of the website https://m.n3***.com/legal/terms/businesstools (queried on March 6, 2023).

C.6. Regarding the data processing terms for N3*** Business Tools

The data processing terms for N3*** Business Tools were as follows on August 12, 2020 (formatting not reproduced 1:1, links not included):

"These terms of use will be updated effective August 31, 2020. To preview the new version before it takes effect, click here.

Data Processing Terms

If you reside in the European Union or Switzerland, you acknowledge that your use of certain N3*** products may involve the transmission of personal data (as defined below) to N3***. To the extent that we process such data as your data processor (as defined below), these terms and conditions for data processing apply in addition to the applicable product terms of use, such as the terms of use for N3*** Business Tools and the terms of use for Custom Audiences (“Applicable Product Terms of Use”). In the event of a conflict with the Applicable Terms of Use, these processing terms shall take precedence. N3*** and you agree as follows:

1. Data Processing Terms

1. N3*** shall process personal data only in accordance with the applicable product terms of use;
2. implement appropriate technical and organizational measures to protect personal data;
3. assist you, where possible (taking into account the nature of the processing), with appropriate technical and organizational measures to fulfill your obligation to respond to requests for the exercise of the rights of the data subject under the GDPR;
4. assist you, taking into account the nature of the processing and the information available from N3***, in complying with your obligations under Articles 32 to 36 of the GDPR;
5. upon termination of the applicable product terms of use, delete personal data as soon as reasonably possible and within a maximum period of 180 days, unless EU law or the law of the EU member state requires a longer retention period; N3*** may retain personal data for a longer period if necessary for the provision of other services outlined in the applicable product terms of use;
6. provide you with all necessary information to demonstrate N3***’s compliance with its obligations as a data processor under Article 28 of the GDPR; and
7. ensure that an external auditor conducts an annual SOC 2 Type II audit regarding the data processing services or any other industry-standard audit that N3*** may deem appropriate as part of N3***’s audit programs. At your request, N3*** shall provide you with a copy of its current audit report no more than once per year, which shall then be considered confidential information of N3***.

2. You agree that N3*** may subcontract its data processing obligations under these terms to a sub-processor. This may only occur through a written agreement with the sub-processor, imposing obligations on the sub-processor that are no less onerous than those imposed on N3*** by these terms for data processing. If a sub-processor fails to fulfill such obligations, N3*** shall remain fully liable to you for the performance of the obligations of that sub-processor. You hereby authorize N3*** to engage N3*** Inc. (and other N3*** companies) as its sub-processors. N3*** shall notify you in advance of (any) additional sub-processors. If you have reasonable objections to such additional sub-processors, you may inform N3*** in writing of the reasons for your objections. If you object to such additional sub-processors...

Objections

If you have objections, you should stop using the services and providing N3*** data.

3. If N3*** detects any actual or suspected breach of personal data protection regarding personal data, N3*** shall notify you immediately. Such notification shall contain the following information either at the time of notification or as soon as possible thereafter: details regarding the nature of the breach, the number of affected records, the category and approximate number of affected individuals, the likely consequences of the breach, and any actual or proposed measures to mitigate the potential adverse effects of the breach.

4. N3***, Inc. has entered into commitments under the EU-U.S. Privacy Shield and the Swiss-U.S. Privacy Shield that may apply to data transmitted by you or N3*** Ireland Limited to N3***, Inc. under the applicable product terms of use. If they are used for the transmission of personal data to N3***, Inc. in countries outside the EU or Switzerland and you reside in the European Union or Switzerland, you acknowledge that, in addition to the applicable product terms of use, the Privacy Shield Terms of Use (https://www.n3***.com/legal/privacyshieldforadvertising) apply to such data.

2. Definitions:

For the purposes of these data processing terms, the following terms shall have the meanings set forth

below:

"GDPR" stands for the General Data Protection Regulation (Regulation (EU) 2016/679).

"Controller," "Processor," "data subject," "personal data," "breach of personal data protection," and "processing" shall have the same meanings as in the GDPR; "processed" and "process" shall be interpreted in accordance with the definition of "processing."

The data processing terms for N3*** Business Tools were updated on August 31, 2020.

The data processing terms for N3*** Business Tools as of August 12, 2020, and the data processing terms for N3*** Business Tools as of August 31, 2020, shall serve as the basis for the findings of fact.

****Assessment of Evidence C.6.:** The findings made are based on the submission of the complainant dated August 17, 2020, and the documents submitted therein (Attachment .02 and Attachment .04). The cited data processing terms for N3*** Business Tools as of August 12, 2020, and as of August 31, 2020, are included in the present file and are known to the parties.

Furthermore, the findings made are based on an official search of the website

https://www.n3***.com/legal/terms/dataprocessing/update (accessed on March 6, 2023).

****C.7. Regarding the Privacy Shield Terms of Use****

The Privacy Shield Terms of Use for N3*** Business Tools at

https://www.n3***.com/legal/privacysieldforadvertising were as follows on August 12, 2020 (formatting not reproduced 1:1, links not included):

****Privacy Shield Terms of Use****

You acknowledge that the use of certain N3*** services for advertising or measurement (the "Services") may result in N3***, Inc. ("N3***") receiving data from you (either directly or when acting on behalf of N3*** Ireland Ltd). This is done under the EU-U.S. Privacy Shield or the Swiss-U.S. Privacy Shield (collectively the "Privacy Shield"). To the extent that the Privacy Shield applies to the data you provide and without limiting any agreement between you and N3***, you acknowledge and agree to the following:

☐

The Privacy Shield notice from N3*** is available at www.n3***.com/about/privacysield; it outlines N3***'s certification. In accordance with your obligations related to your use of the Services, you agree to provide individuals with appropriate and suitable information about the Services.

☐

N3*** may provide contact information about you to data subjects through the Services, thereby allowing them to directly contact you to exercise their rights under the Privacy Shield.

☐

N3*** may receive inquiries or complaints from data subjects and may provide them with an independent mechanism for redress and dispute resolution. Nevertheless, you remain responsible for addressing any complaints raised by data subjects regarding your processing of personal data of the data subjects in connection with the Services (regardless of whether these are expressed directly to you or to us).

☐

You agree to take all reasonable measures (including those reasonably requested by N3***) to enable N3*** to comply with its Privacy Shield obligations, including assisting in the resolution of complaints. In the event of a conflict between these Terms of Use and other terms of use that reference these Terms of Use, these Terms of Use shall prevail.

Last modified: September 29, 2017

On September 27, 2021, a new N3*** contract addendum for the transfer of European data came into effect. This can be found at https://www.n3***.com/legal/EU_data_transfer_annex/update and reads as follows (formatting not reproduced 1:1, links not included):

[Note from editor: The following paragraph is originally a graphic file]

"This contract addendum for the transfer of European data comes into effect on September 27, 2021.

A list of N3***'s subprocessors can be viewed here."

****N3*** CONTRACT ADDENDUM FOR THE TRANSFER OF EUROPEAN DATA****

This contract addendum for the transfer of European data comes into effect on September 27, 2021. This contract addendum for the transfer of European data ("Data Transfer Addendum") will become part of the Data Processing Terms by reference. It applies to the extent that N3*** Ireland acts as your processor for European data processed in accordance with the terms of use for covered products and transfers of such data from the EU, EEA, the United Kingdom, or Switzerland to N3***, Inc.

1. You acknowledge and agree that N3*** Ireland transfers European data to N3***, Inc. to provide the covered products in accordance with the terms of use for...

included products to be provided, and that European data may be further transmitted to other subcontractors of N3***.

2. N3***

Ireland

transmits

European

data

on

the

basis

of

Processor-to-Processor Standard Contractual Clauses to N3***, Inc.,

but reserves the right to use an alternative transfer mechanism recognized by the GDPR and other applicable data protection laws in the EEA, the United Kingdom, and Switzerland (such as an adequacy decision). Further transmissions to subcontractors of N3***

based on the Processor-to-Processor Standard Contractual Clauses are made on the basis of the general authorization in accordance with the Data Processing Terms.

3. To enable an efficient and coordinated service, all communication with N3***, Inc. or with any other subcontractor of N3*** in connection with the Processor-to-Processor Standard Contractual Clauses will be coordinated and directed as much as possible through N3*** Ireland.

4. This Data Transfer Addendum takes precedence over the Terms of Use for included products in the event of any contradiction or incompatibility. By your continued use of or access to the included products on or after the effective date of this Data Transfer Addendum (or any updates to this Data Transfer Addendum, if applicable), you agree to be bound by the Data Transfer Addendum in its updated version.

5. Any clauses agreed between you and N3***, Inc. under the Data Transfer Addendum that came into effect on August 31, 2020, shall be deemed terminated as of the effective date of this Data Transfer Addendum. You agree that any European data transmitted under the terminated clauses do not need to be destroyed or returned due to the termination of these clauses, but instead are subject to the terms of use set forth in this Data Transfer Addendum.

6. The following definitions apply in this Data Transfer Addendum:

a) "Included Product" refers to an N3*** product or service for which the Terms of Use for included products apply.

b) "Terms of Use for included products" refers to the terms applicable to an N3*** product or service, insofar as it is specified that N3*** Ireland processes European data as your processor in accordance with the Data Processing Terms during the provision of the product or service (where these Terms of Use for included products may be updated or replaced from time to time).

c) "Clauses" refers to the Standard Contractual Clauses for the transfer of personal data to processors located in third countries, approved by the European Commission in its Decision 2010/87/EU of February 5, 2010 (excluding the illustrative optional clauses).

d) "EEA" stands for the European Economic Area.

e) "EU" stands for the European Union.

f) "European Data" refers to the personal information under your sole responsibility that is processed by N3*** Ireland as your processor in accordance with the Terms of Use for included products, to the extent that the GDPR or data protection laws in the EEA, the United Kingdom, or Switzerland apply to the processing of such data.

g) "N3*** Ireland" refers to N3*** Ireland Limited.

h) A "subcontractor of N3***" is a subcontractor that is engaged to process European data in accordance with the Data Processing Terms.

i) "Processor-to-Processor Standard Contractual Clauses" are, depending on the respective transfer:

(a) Module 3 (Processor-to-Processor) of the Standard Contractual Clauses for the transfer personal data to third countries in accordance with the GDPR, which were approved by the European Commission in its decision 2021/914 of June 4, 2021; or

(b) such other (processor-to-processor) standard contractual clauses for the transfer of personal data to third countries that are recognized under the applicable data protection laws in the EU, EEA, the United Kingdom, or Switzerland (in each case with any optional clauses chosen by N3***).

7. For the purposes of this Data Transfer Addendum, any terms with capital letters shall have the meanings assigned to them in the Terms of Use for covered products, unless otherwise specified.

References to the Terms of Use for covered products, including the Data Processing Terms, refer to their respective updated versions as applicable under the Terms of Use for covered products.

As of August 12, 2020, there was no information on the website

https://www.n3***.com/about/***privacyshield indicating that the second respondent no longer relies on Privacy Shield for the transfer of personal data to the USA.

Assessment of Evidence

C.7.: The findings regarding data protection terms of use are based on the submission of the complainant dated August 17, 2020, and were not disputed by the respondents.

The finding that there was no information on the website https://www.n3***.com/about/***privacyshield as of August 12, 2020, indicating that the second respondent no longer relies on Privacy Shield for the transfer of personal data to the USA, is derived from Annex .06, which the complainant submitted in his application dated August 17, 2020.

Furthermore, the findings are based on an official inquiry of the website

https://www.n3***.com/legal/privacyshieldforadvertising,

https://www.n3***.com/legal/EU_data_transfer_annex/update, and

https://www.n3***.com/about/***privacyshield (each queried on March 6, 2023).

C.8. Use of N3*** Business Tools on www.n1***.at on August 12, 2020

The first respondent operates the website www.n1***.at. www.n1***.at is an online news portal that reports on global topics, particularly those related to Austria. The first respondent makes decisions regarding the content and design of the aforementioned website.

As of the cut-off date of August 12, 2020, the first respondent decided to implement the N3*** Business Tools "N3*** Login" and "N3*** Pixel" on its website to utilize the functionalities of the tools. To this end, it incorporated a JavaScript code provided by the second respondent into the source code of its website www.n1***.at.

The first respondent accepted the Terms of Use for N3*** Business Tools as of December 26, 2019, and the Data Processing Terms for N3*** Business Tools as of August 12, 2020. The terms are always concluded between customers (e.g., operators of a website) and N2*** Ireland.

For N3*** Pixel, the first respondent set up an account ("Dashboard") with the Scout ID

7*33*43*2*21*1 with the second respondent. However, the first respondent currently no longer has access to its N3*** Pixel Dashboard.

The first respondent removed the aforementioned N3*** Business Tools from the website www.n1***.at as of the cut-off date of October 25, 2022.

Assessment of Evidence C.8.: The findings regarding the implementation of the N3*** Business Tools on www.n1***.at and the "Dashboard" are based on the statement of the first respondent dated March 7, 2022. In this statement, it explicitly stated that it implemented the N3*** Business Tools N3*** Login and N3*** Pixel on the website www.n1***.at at least on August 12, 2020, and that the corresponding agreements were accepted.

The finding that the mentioned N3*** Business Tools were subsequently removed from the mentioned website is also derived from the statement of the first respondent dated March 7, 2022, which was not disputed by the complainant. An official inquiry by the data protection authority of the website

www.n1***.at revealed that the mentioned N3*** Business Tools are currently no longer in use (queried on March 6, 2023).

The finding that the terms are always concluded between customers (e.g., operators of a website) and N2*** Ireland is based on the credible statement of the second respondent during the oral hearing on May 16, 2022 (response to questions 1 and 2).

C.9. Visit of the complainant to the website on August 12, 2020

The complainant visited the website www.n1***.at at least on August 12, 2020. During the visit, he was logged into his N3*** account, which is linked to his email address walter.c***@***email.org. The complainant did not use the N3*** Login function on www.n1***.at on August 12, 2020.

Assessment of Evidence C.9.: The findings are based on the submission of the complainant dated August 17, 2020, and are undisputed.

C.10. Data transfers to the USA as a result of the website visit on August 12, 2020

that the data is not transmitted to the servers of the second respondent in the USA.

C.11.: The findings regarding the transmission of data are based on the statements made by the complainant and the information provided in the attachment ./5 (HAR file). The HAR file is a format for archiving HTTP transactions. The data protection authority has reviewed the HAR file. The complainant's assertions are consistent with the archived data contained therein. The submitted HAR file (or its content) is known to the parties. The second respondent also stated in its attachment to the response dated May 30, 2022, titled "Confidential," that it contains various information (at least the IP address, information about the web browser, location of the website, pixel-specific data (Pixel-ID), and click data for buttons) regarding N3*** Login.

C.12.: The determination that the data was transmitted to the servers of the second respondent in the USA results from the second respondent's statement dated May 30, 2022, and the attached data field list (titled "Confidential"). Although the second respondent claims that it receives this data "within the framework of the SDK" (presumably referring to Standard Contractual Clauses), there is no substantive reason to assume that the data is not transmitted to the servers of the second respondent in the USA.

that she did not receive this data already on August 12, 2020. Apart from that, certain data, such as the IP address and web browser data, are always transmitted when a website is accessed. The first respondent has not disputed the transmission of data to the USA, whereby she bears the burden of proof for her assertions in the context of her data protection accountability (see the legal assessment and the cited case law of the CJEU).

The finding that pixel-specific data is also transmitted when implementing N3*** Pixel arises from an official inquiry of the website https://developers.n3***.com/docu/N2***-pixel/ (accessed on March 6, 2023).

The finding that the second respondent can access this data in plaintext form is based on her statements during the oral hearing on May 16, 2022. Although the second respondent did not provide a concrete answer to the question of whether she receives the data in plaintext form within the framework of data processing (see question 13), she stated that she provides several services for N2*** Ireland, such as infrastructure services, peering, hosting, and related services like testing, bug-fixing regarding the products of N2*** Ireland, as well as product security, including the investigation of suspicious activities (see question 11). According to the data protection authority, these services cannot be provided if the second respondent does not receive the data from N2*** Ireland in plaintext form. Also, in the transparency report of the N2*** group at

https://transparency.n3***.com/data/government-requests/additional-questions/ (accessed on March 6, 2023), "encryption of data in transit" is listed as a "protective measure," but not an effective encryption against the second respondent.

It should not be overlooked that additional data may be transmitted during the implementation of N3*** Pixel on a website, such as click data for buttons. However, the complainant stated in his submission of July 25, 2022, that he did not interact with the N3*** login. He has also not claimed to have clicked on N3*** buttons. Therefore, no findings were to be made regarding click data for buttons.

C.11. Regarding Cookies in the Specific Case

At least the cookie "_n3***p" contains a unique, randomly generated value (random number). For the cookie "_n3***p," the following information can be found at https://developers.n3***.com/docu/marketing-api/Modifications-api/parameters/n3***p-and-n3***c/?*langplac=de_DE (formatting not reproduced 1:1, excerpt, original in English):

[Note from the editor: The following English text section is originally a partially colored graphic file]
n3***p

When the N2*** Pixel is installed on a website, and the Pixel uses first-party cookies, the Pixel automatically saves a unique identifier to an _n3***p cookie for the website domain if one does not already exist.

The n3***p event parameter value must be of the form
version.subdomainIndex.creationTime.randomnumber, where:

- version is always this prefix: n3***
- subdomainIndex is which domain the cookie is defined on ('com' = 0, 'n3***.com' = 1, 'www.n3***.com' = 2). If you're generating this field on a server, and not saving an n3***p cookie, use the value 1.
- creationTime is the UNIX time since epoch in milliseconds when the _n3***p cookie was saved. If you don't save the _n3***p cookie, use the timestamp when you first observed or received this n3***p value.
- Randomnumber is generated by the N2*** Pixel SDK to ensure every _n3***p cookie is unique.

Here's an example of what the n3***p value could look like:

n3***.2*.6***4*5*7

Regarding the cookies "_n3***p," "l*_user," "j*x," and "t_*o," further information can be found at https://de-de.n3***.com/policies/cookies/ (formatting not reproduced 1:1, excerpt, highlights by the data protection authority):

"Authentication

We use cookies to verify your account and to determine when you are logged in, so that we can facilitate your access to N2*** products and provide you with the appropriate user experience and suitable features.

For example: We use cookies so that you can stay logged in while switching between different N3*** pages. Cookies also help us recognize your browser so that you do not have to log in to N3*** repeatedly and can log in to N3*** more easily through third-party apps and websites.

For this purpose, we use, among others, "l*_user" and "j*x" cookies, which have a storage duration of 365 days.

[...]

Advertising, Recommendations, Insights, and Measurements

We use cookies as support to show advertisements to those individuals who may be interested in the products, services, or purposes advertised by companies and other organizations, and to make recommendations for them.

For example: With the help of cookies, we can show advertisements to those individuals who have previously visited a company's website, purchased its products, or used its apps, and recommend products and services based on this activity. Cookies also enable us to limit the

Frequency with which an advertisement is displayed to you, so that you do not see the same advertisement repeatedly. The "t_*o" cookie is used, for example, to deliver advertisements and to measure and improve their relevance. It has a storage duration of 90 days.

We also use cookies to assist companies that utilize the N2*** products in measuring the success of their advertising campaigns.

For example: We use cookies to determine how often an advertisement is displayed and to calculate the costs of these advertisements. Additionally, we use cookies to measure how often people take actions after an ad impression, such as making a purchase. The "_n3***p" cookie identifies, for example, browsers to provide analytics services for advertising and websites. It has a storage duration of 90 days. [...]

Evidence Assessment C.11.: The findings are based on an official investigation of the website https://developers.n3***.com/docs**/marketing-api/parameters/n3***p-and-n3***c/?*langplac=de as well as https://de-de.n3***.com/policies/cookies/ (accessed on March 6, 2023).

C.12. Regarding the Transparency Report of the N2*** Group

The N2*** Group publishes transparency reports on the website

https://transparency.n3***.com/data/government-data-requests/, which relate, among other things, to data access requests (“data requests”) from the U.S. government.

The transparency reports indicate, among other things, that there are regular data access requests from U.S. intelligence agencies to the N2*** Group. The data access requests also concern users from Austria.

The governmental requests for user data include both routine requests in connection with legal proceedings and urgent disclosure requests.

The following data may be requested, among others:

- Basic subscriber information: Name, duration of use, payment information, email addresses, and IP addresses of the last logins and logouts.
- Records related to account activities, such as message headers and IP addresses.
- The stored contents of an account, such as messages, photos, videos, timeline entries, and location information.

The reports are excerpted as follows (formatting not reproduced 1:1, original in English):

“Global Overview

N2*** responds to government requests for data in accordance with applicable law and our terms of service. Each and every request we receive is carefully reviewed for legal sufficiency and we may reject or require greater specificity on requests that appear overly broad or vague. This chart provides data on the number of requests we received and the rate we complied with all or some of the government's request for each half by country or region. We publish this information in 6-month increments, subject to certain limitations, and we began reporting this information in 2013.”

[Note from the editor: The information originally presented here as a graphic file from the website of the second respondent cannot be pseudonymized with reasonable effort and has therefore been removed. It includes, among other things, numbers and graphics related to requests from third parties and disclosures of personal data to third parties (i.e., not the affected person, particularly to authorities) in Austria and internationally.]

Regarding the question of what protective measures are taken to protect data during the transfer

to

the

USA,

the following information can be found at

https://transparency.n3***.com/data/government-requests/additional-questions/ as of October 25, 2022 (formatting not reproduced 1:1):

“We have in place a number of safeguards and measures to ensure an adequate level of protection for user data being transferred outside the EEA to the United States, including: Security: We have a comprehensive security program to protect the data stored on our systems, platforms, and products.

Encryption of data in transit so it cannot be read: N2*** employs industry-standard encryption algorithms and protocols designed to secure and maintain the confidentiality of data in transit over public networks. Employing advanced encryption algorithms enables N2*** to secure user data in transit from access by third parties.

Policies and procedures: We have robust policies and procedures in place to ensure user data is adequately protected in relation to requests from governmental agencies. For example, we will only comply with a governmental request for user data after we are satisfied that the request complies with applicable law and our policies. If the request is unlawful (for example,

overly broad, or legally deficient in any way), we will push back or challenge the request. We encourage governmental agencies to submit only requests that are necessary, proportionate, specific, and strictly compliant with applicable laws, by publishing guidelines for government requests.

Oversight: We have a dedicated, trained Law Enforcement Response Team (LERT) that reviews and evaluates every government request for user data individually, whether the request was submitted related to an emergency or through legal process obtained by law enforcement or national security authorities. This team ensures that all requests are consistent with applicable law and our policies, including N2***'s Data Policy.

Government Requests for User Data Report: We publish information on government requests we receive in our Government Requests for User Data Report. Information regarding requests made under the US Foreign Intelligence Surveillance Act (FISA) is included in the report with the maximum level of detail permitted under US law.

Advocacy: We appreciate the focus of governments across the globe on protecting and safeguarding people's data, including in the US and Europe, and we work hard to do our part. We actively engage with governments to encourage practices that protect peoples' rights. We belong to advocacy groups like Global Network Initiative, whose mission is to advance the freedom of expression and privacy rights of Internet users worldwide; and are a founding member of Reform Government Surveillance, which advocates for government data requests to be rule-bound, narrowly tailored, transparent, subject to strong oversight, and protective of end-to-end encryption. We support surveillance reform and frequently engage with various government and regulatory bodies to advocate the same.

Your rights: In addition to your rights under EU law, the SCCs and US law, you also have the right to submit a complaint or request to the Privacy Shield Ombudsperson in the United States.

C.12. Evaluation of Evidence: The findings are based on an official investigation of the website https://transparency.n3***.com/data/government-data-requests/ as well as https://www.n3***.com/safety/groups/law/guidelines/ (both accessed on March 6, 2023).

C.13. Proceedings before the Irish Supervisory Authority: The Irish Supervisory Authority (Data Protection Commissioner) is currently conducting proceedings under reference number I**-2*-7*-* against N2*** Ireland (N2*** Platforms Ireland Ltd). The subject of the aforementioned proceedings is the order to suspend data transfers to the second respondent.

Evaluation of Evidence C.13.: The findings are based on publicly known information. Furthermore, the complainant also referred to the proceedings under reference number I**-2*-7*-* in his statement dated July 25, 2022.

D. From a legal perspective, it follows that:

D.1. On the jurisdiction of the Data Protection Authority

a) On the media privilege according to § 9 para. 1 DSG: The first respondent disputed the jurisdiction of the Data Protection Authority to handle the present complaint in its statement dated December 28, 2020, and raised the applicability of § 9 para. 1 DSG to the data processing subject to the complaint – namely, the transfer of personal data of the complainant as a result of the implementation of N3*** Business Tools on www.n1***.at.

The following can be countered: The national legislator restricts the so-called media privilege under Art. 85 GDPR in conjunction with § 9 para. 1 DSG, by making the privilege accessible only to media companies or media services, provided that personal data is processed for journalistic purposes by media owners, publishers, and media employees or workers of a media company or media service (see the decision of the DSB dated April 21, 2020, GZ: 2020-0.239.741).

Processing of personal data for journalistic purposes is understood by the CJEU to occur when the processing solely aims to disseminate information, opinions, or ideas in the public domain (see the judgment of the CJEU dated December 16, 2008, C-73/07 para. 62).

To what extent the data processing subject to the complaint pursues a "journalistic purpose" in the sense of the CJEU's case law is not apparent. Rather, it follows from the statement of the first respondent dated March 7, 2022, that N3*** Pixels were implemented for tracking purposes and **** Login to simplify the login process for premium customers on www.n1***.at.

Moreover, N2*** Ireland receives data from website visitors due to the implementation of N3*** Business Tools on a website, which can in turn be processed for its own purposes (see, for example, factual finding C.4). Thus, regarding the data transfers subject to the complaint between the first respondent and N2*** Ireland (and ultimately the second respondent), no journalistic purpose in the sense of the CJEU's case law was pursued for this reason alone.

These considerations are also supported by the case law of the BVwG, which states, for example, that advertising cookies for displaying personalized advertising on a website of a media company or the management of a database by a media company for the purpose of sending print advertising do not fall under the media privilege (see the decision of the BVwG dated March 12, 2019, GZ: W214 2223400-1).

Since the requirements of § 9 para. 1 DSG are not met, the media privilege does not apply to the data processing subject to the complaint.

The (subsequently) issued decision of the Constitutional Court dated December 14, 2022, under reference numbers G 287/2022-16, G 288/2022-14, which declared § 9 para. 1 DSG unconstitutional, will not be addressed, as the annulment will only take effect on June 30, 2024.

b) On the e-Privacy Directive: The European Data Protection Board (subsequently: EDPB) has already dealt with the relationship between the GDPR and Directive 2002/58/EC ("e-Privacy Directive") (see the opinion 5/2019 on the interplay between the e-Privacy Directive and the GDPR dated March 12, 2019).

The Data Protection Authority has also addressed the relationship between the GDPR and the national implementation provision (in Austria now: TKG 2021, BGBl. I No. 190/2021 as amended) in its decision dated November 30, 2018, GZ: DSB-D122.931/0003 DSB/2018.

It was fundamentally stated that the e-Privacy Directive (or the respective national implementation provision) takes precedence over the GDPR as *lex specialis*. Article 95 GDPR stipulates that the regulation applies to natural or legal persons in relation to processing in connection with the provision of publicly accessible electronic...

****Communication Services in Public Communication Networks in the Union****

No additional obligations are imposed on communication services in public communication networks in the Union, as long as they are subject to specific obligations set out in the e-Privacy Directive that pursue the same objective. However, the e-Privacy Directive does not contain obligations in the sense of Chapter V of the GDPR in the event of the transfer of personal data to third countries or to international organizations. In this context, the GDPR is applicable to such data transfers.

****c) Interim Result****

There is jurisdiction of the data protection authority to address the complaint in question according to Art. 77 para. 1 GDPR.

****D.2. On Art. 44 GDPR as a Subjective Right****

Based on the previous case law of the data protection authority and the courts, it should be noted that both the legality of data processing according to Art. 5 para. 1 lit. a in conjunction with Art. 6 et seq. GDPR and the data protection rights of affected individuals postulated in Chapter III of the Regulation can be asserted as subjective rights within the framework of a complaint under Art. 77 para. 1 GDPR. In the present case, a violation of Art. 44 GDPR is also alleged.

According to the data protection authority, it is crucial whether an affected person is impaired in an individual legal position by an alleged legal violation. The alleged legal violation must therefore have a

negative impact on the affected person. This is to be assumed in the case of Art. 44 GDPR when personal data is transferred to a third country or an international organization, thereby undermining the level of protection guaranteed by the Regulation (see also the judgment of the CJEU of July 16, 2020, C-311/18, para. 135).

The wording of Art. 77 para. 1 GDPR (and also the national provision of § 24 para. 1 DSG) only requires for the exercise of the right to complain that “[...] the processing of the personal data concerning them violates this Regulation.” In this sense, the CJEU stated in its judgment of July 16, 2020, that the determination that “[...] the law and practice of a country do not provide an adequate level of protection [...]” as well as “[...] the compatibility of this (adequacy) decision with the protection of privacy and the freedoms and rights of individuals [...]” can be asserted as a subjective right within the framework of a complaint under Art. 77 para. 1 GDPR (see the judgment of the CJEU of July 16, 2020, C-311/18, para. 158).

It should be noted that the question referred in the aforementioned proceedings did not concern the “scope of the right to complain under Art. 77 para. 1 GDPR”; however, the CJEU evidently considered the fact that a violation of provisions of Chapter V GDPR can also be asserted within the framework of a complaint under Art. 77 para. 1 GDPR as a necessary prerequisite. If viewed differently, the CJEU would likely have stated that the question of the validity of an adequacy decision cannot be clarified within the framework of a complaint procedure at all.

Finally, it should also be assumed according to domestic case law of the VwGH that, in case of doubt, norms that prescribe administrative action also and especially in the interest of the affected person grant them a subjective, thus enforceable right through the complaint process (see, for example, VwSlg. 9151 A/1976, 10.129 A/1980, 13.411 A/1991, 13.985 A/1994). Thus, a violation of Art. 44 GDPR can be asserted within the framework of a complaint to the data protection authority.

****D.3. On the Determination Competence of the Data Protection Authority****

As can be seen from the subject of the complaint (see point B.1), the determination of a legal violation that occurred in the past has been requested. According to the case law of the VwGH and the BVwG, the data protection authority has a determination competence regarding violations of the right to confidentiality in complaint proceedings (as explicitly stated in the decision of the BVwG of May 20, 2021, file no. W214 222 6349-1/12E; implicitly in the decision of the VwGH of February 23, 2021, Ra 2019/04/0054, in which it dealt with the determination of a past violation of the duty of confidentiality without addressing the lack of jurisdiction of the authority concerned).

There are no substantive reasons to apply the determination competence according to Art. 58 para. 6 GDPR in conjunction with § 24 para. 2 Z 5 DSG and para. 5 DSG for the determination of a violation of Art. 44 GDPR, since in the present case, among other things, a past legal violation—namely, data transfers to the USA on August 12, 2020—is being criticized, and the right to complain according to § 24 para. 1 DSG—just like Art. 77 para. 1 GDPR—generally links to a violation of the GDPR.

If the ruling of a decision in a complaint procedure could only contain instructions according to Art. 58 para. 2 GDPR, there would ultimately be no room for § 24 para. 2 Z 5 and § 24 para. 5 DSG.

To the extent that the first respondent refers to § 24 para. 6 DSG in its statement of October 18, 2022, and asserts that the alleged legal violation has been remedied, the case law of the BVwG should be countered, according to which the possibility to... subsequently removed. This is because the tracking cookies can still be used to identify individuals when combined with other data. The mere fact that the identity of the user is not immediately apparent does not negate the potential for identification, especially when considering the broader context in which the data is used.”

D.6. To Ruling Point 3

a) On the concept of "processing"

According to the definition in Art. 4 No. 2 GDPR, "processing" refers to any operation or set of operations which is performed on personal data, whether or not by automated means, such as

collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure or destruction.

In the present case, the actions taken by the first respondent in relation to the data collected through the N3*** Business Tools clearly fall under the definition of processing as they involve the collection and transmission of personal data to the servers of the second respondent.

D.7. To Ruling Point 4

a) On the legal basis for processing

The processing of personal data requires a legal basis as outlined in Art. 6 GDPR. In this case, the first respondent has not provided any evidence of a valid legal basis for the processing of the complainant's personal data. The absence of consent or any other legal justification for the processing of the data collected through the N3*** Business Tools constitutes a violation of the GDPR.

D.8. Conclusion

Based on the findings outlined above, the Data Protection Authority concludes that the first respondent has violated the complainant's rights under the GDPR by processing personal data without a valid legal basis. The authority will take appropriate measures to ensure compliance with data protection laws and to protect the rights of the complainant.

This decision is subject to appeal in accordance with the applicable legal provisions.

have been deleted by the Scout after collection. All records containing identifiers that can be used to single out users are considered personal data under the Regulation and must be treated and protected as such.” (S. 13, Original in English and with further evidence).

“[...] Tracking cookies such as the Stripe and Google Analytics cookies are considered personal data, even if the traditional identity parameters of the tracked users are unknown or have been deleted by the Scout after collection. All records that contain identifiers that can be used to single out users are considered personal data under the Regulation and must be treated and protected as such” (Translation by the Data Protection Authority).

Although the EDSB applies Regulation (EU) 2018/1725, which applies to data processing by the institutions, bodies, and other entities of the Union, since Art. 3 (1) of Regulation (EU) 2018/1725 corresponds to the definition of Art. 4 (1) GDPR, these considerations can easily be transferred to the present case.”

These considerations can be transferred to the present case: As a result of the implementation of N3*** Business Tools on www.n1***.at, cookies were set on the complainant's device that contain a unique, randomly generated value (see C.11). This allows for the individualization of the complainant's device and the recording of the complainant's browsing behavior to display suitable personalized advertising (see C.3).

Regardless, at least N2*** Ireland had the ability to link the data it received due to the implementation of the N3*** Business Tools on www.n1***.at with the N3*** account of the complainant walter.c***@***email.org. The terms of use for N3*** Business Tools (see C.5) clearly indicate that N3*** Business Tools are used, among other things, to exchange information with N3***. It is not necessary for the first respondent to be able to establish a personal reference alone, meaning that all information necessary for identification must be with them (cf. the judgments of the CJEU of December 20, 2017, C-434/16, para. 31, and of October 19, 2016, C-582/14, para. 43).

These statements are also supported by Fashion ID. In the aforementioned decision, the CJEU also assumed that the integration of a “Do-I-really-like-it” button from N3*** on a website—regardless of whether the button is clicked—triggers the processing of personal data (cf. the judgment of the CJEU of July 29, 2018, C-40/17, para. 80). From the perspective of the CJEU, it was thus not necessary for the website operator to be able to establish a personal reference.

The statements of the CJEU can be transferred to the present case, as according to the terms of use, both the “Do-I-really-like-it” button and N3*** Login and N3*** Pixel are part of the N3*** Business Tools (see C.5).

Thus, the information listed in the factual findings under C.10. (at least in combination) constitutes

personal data according to Art. 4 (1) GDPR.

b) Role Distribution

i) First Respondent

As already stated, the first respondent, as the website operator at the time of the complaint, made the decision to implement N3*** Business Tools on its website www.n1***.at. Specifically, it inserted a JavaScript code provided by the second respondent into the source code of its website, which caused this JavaScript code to be executed in the complainant's browser when visiting the website (see C.8). The first respondent stated in its submission of March 7, 2022, that N3*** Pixel was implemented for tracking purposes and **** Login to simplify the login process for premium customers on www.n1***.at. By doing so, the first respondent decided on the “purposes and means” of the data processing associated with the tool, which is why it is to be regarded as the controller within the meaning of Art. 4 (7) GDPR.

ii) Second Respondent

Despite extensive investigative proceedings—such as an oral hearing of the second respondent on May 16, 2022—there are currently no sufficient indications for the Data Protection Authority to qualify the second respondent for the present data processing as the controller.

In accordance with the data processing conditions (see C.6), the Data Protection Authority therefore assumes that the second respondent (then N3*** Inc.) was engaged as a processor within the meaning of Art. 28 (2) GDPR in the context of the present data processing on August 12, 2020.

The question of whether the data access capabilities of US intelligence agencies change the role of the second respondent will be addressed further below.

c) Scope of Chapter V of the GDPR

According to Art. 44 GDPR, any “[...] transfer of personal data that is already being processed or is intended to be processed after its transfer to a third country or an international organization, [...] is only permissible if the controller and the processor comply with the conditions laid down in this chapter and also adhere to the other provisions of this regulation; this also applies to any further transfer of personal data from the relevant third country or the relevant international organization to another third country or another international organization. All provisions of this chapter must be applied to ensure that the level of protection for natural persons guaranteed by this regulation is not undermined.”

The first respondent is based in Austria and is responsible for the operation of the website www.n1***.at as the data protection controller. Furthermore, the first respondent disclosed personal data of the complainant by proactively implementing N3*** Business Tools on its website www.n1***.at, resulting in, among other things, a data transfer to the second respondent (location: USA) (see also the EDSA Guidelines 5/2021 as of February 14, 2023 FN 15: “Finally, it should be noted that personal data disclosed via cookies are not considered as being disclosed directly by the data subject, but rather as a transmission by the operator of the website that the data subject is visiting”).

It remains to be seen whether the personal data of the complainant was transferred directly to the second respondent or only in a second step after being processed by N2*** Ireland:

The first respondent is obliged under Art. 28 para. 1 GDPR to only work with processors that provide sufficient guarantees that the data processing is carried out in accordance with the requirements of the GDPR (“selection fault”).

According to established case law of the BVwG, the processor is the “extended arm” of the controller, and the processing by the processor is to be seen as part of the processing by the controller itself (see the decision of the BVwG of October 20, 2021, file no. W211 2231475-1; also explicitly see EDSA Guidelines 5/2021 as of February 14, 2023, para. 19 last sentence).

In the present case, the first respondent accepted the data processing conditions of N2*** Ireland for N3*** Business Tools and agreed in accordance with Art. 28 para. 2 GDPR that N2*** Ireland may involve the second respondent (then N3*** Inc.) as a so-called sub-processor (see C.6: “[...] You hereby authorize N3*** to engage N3*** Inc. [and other N3*** companies] as its sub-processors”).

d) Framework of Chapter V of the GDPR

Subsequently, it must be verified whether the data transfers in question took place in accordance with the provisions of Chapter V of the GDPR to the USA.

Chapter V of the regulation provides for three (protection) instruments to ensure the adequate level of protection required by Art. 44 GDPR for data transfers to a third country or an international organization:

- Adequacy decision (Art. 45 GDPR);
- Appropriate safeguards (Art. 46 GDPR);
- Exceptions for specific cases (Art. 49 GDPR).

e) Adequacy decision

As can be seen from the factual findings (see C.6 and C.7), the respondents invoked the EU-US adequacy decision ("Privacy Shield") for the data transfer on August 12, 2020.

However, the CJEU already stated on July 16, 2020, C-311/18, that the EU-US adequacy decision does not provide an adequate level of protection for natural persons due to the relevant laws of the USA and the implementation of governmental surveillance programs – among other things based on Section 702 of FISA and E.O. 12333 in conjunction with PPD-28 (see para. 180 ff) and declared the EU-US adequacy decision invalid (see para. 201 f) without maintaining its effect.

According to the opinion of the data protection authority, the second respondent is also to be classified as a provider of electronic communications services within the meaning of 50 U.S. Code § 1881(b)(4) and is thus subject to monitoring by US intelligence agencies in accordance with 50 U.S. Code § 1881a ("FISA 702").

Accordingly, the second respondent has the obligation to provide personal data to US authorities in accordance with 50 U.S. Code § 1881a. The transparency report of the N2*** group (see C.12) indicates that US intelligence agencies regularly make such requests.

ii) Suitable Guarantees

As evident from the factual findings (see C.7), the N3*** contract amendment (including the conclusion of standard data protection clauses) was only implemented after August 12, 2020.

ii) Exceptions for Certain Cases

The respondents have not relied on Article 49 GDPR at any time during the investigation.

From the perspective of the data protection authority, no condition of Article 49 GDPR is met, and in particular, no consent has been obtained in accordance with Article 49(1)(a) of the same legal text (see regarding the burden of proof of a controller the judgment of the CJEU of October 27, 2022, C-129/21, para. 81 et seq.).

f) Result

The data transfers in question on August 12, 2020, were not covered by any instrument of Articles 45 et seq. GDPR.

It was therefore determined that there was a violation of Article 44 GDPR.

D.6. Regarding Point 3

a) Regarding Complaint Point A)

It must be examined whether the second respondent (as data importer) is also subject to the obligations set forth in Chapter V of the Regulation.

Based on the EDSA Guidelines 5/2021 as amended on February 14, 2023, it should be noted that a "transfer to a third country or an international organization" within the meaning of Article 44 GDPR only occurs when, among other things, the controller or processor (data exporter) discloses personal data that is the subject of this processing to another controller, a joint controller, or a processor (data importer) by means of transfer or otherwise (ibid. para. 9).

This requirement does not apply in the present case to the second respondent, as it (as data importer) does not disclose the personal data of the complainant but (only) receives it.

While the data protection authority does not overlook that a data transfer necessarily presupposes a recipient and that the second respondent (at least from a technical perspective) is part of the data transfer, it must be countered that the data protection responsibility in a processing operation (from a legal perspective) can still be "shared," meaning that there can be a different degree of responsibility depending on the phase of the processing operation (see the EDSA Guidelines 7/2020 on the concept of controllers and processors, para. 63 et seq. with references).

According to the data protection authority, there is therefore no violation of Article 44 GDPR by the second respondent.

b) Regarding Complaint Point B)

Finally, a violation of Articles 5 et seq., Article 28, and Article 29 GDPR by the second respondent must be examined. In this regard, the complainant asserts that the second respondent processed his data contrary to the instructions and requests of the first respondent.

The following should be countered:

The data protection principles and the conditions for the lawfulness of data processing according to Articles 5 et seq. GDPR are, according to the explicit wording of Article 5(2) of the same legal text, an obligation of the controller.

The (mere) possibility that the second respondent becomes the recipient of inquiries from US security authorities does not automatically lead to its liability under Article 28(10) GDPR, according to the data protection authority. Such a broad interpretation of Article 28(10) GDPR seems excessive.

Furthermore, a violation of Articles 28 and 29 GDPR cannot be asserted as a subjective right insofar as the cited provisions (only) regulate the relationship between the controller and the processor, and a violation by the processor is attributable to the controller (see again the ruling of the BVwG of October 20, 2021, file no. W211 2231475-1).

However, these statements are irrelevant for Point 2, as in connection with a violation of Article 44 GDPR, the success of the complaint is already fulfilled if personal data is transferred to the USA without a protective instrument.

It was therefore decided accordingly.